Not in exam

Securities Legislation

Financial Advisory and Intermediary Services Act 37 of 2002

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Contents

Introduction

Introduction & About

- **Overview**: FAIS regulates financial services activities rather than entire industries. This ensures consistency in service standards.
- **Focus**: Covers advice and intermediary services, addressing variations in how these are provided.
- **Definitions from the Act**:
  - **Intermediary Service**: Any act performed on behalf of a client or product supplier that results in a client entering into a transaction. This includes managing, safeguarding, and administering client investments.
  - **Advisory Service**: Recommendations, guidance, or proposals given to a client or potential client about financial products, irrespective of the communication medium or the result of the advice.
- **Key Activities and Providers**:
  - Financial Advisors: Individualised client advice.
  - Discretionary Asset Managers: Investment decisions on behalf of clients.
  - Administrative Financial Services Providers: Includes Linked Investment Services Providers (LISPs) and hedge fund managers.

Scope and Objectives

Key Learning:

Objective: Standardisation across activities to protect consumers and maintain market integrity.

Broad Focus: Legislates activities and not industries (i.e. Advisory and Intermediary *Services*)

Financial advisors	• Providing advice as to client investments • Facilitating investments in financial products
Discretionary asset managers	• Exercising discretion over client investments • Includes private wealth stockbroking activities • Includes multi management activities
Administrative FSP's	• LISPs • Bulked products • Wrapped products by Independent advisors
Hedge Funds	• Any fund, regardless of legal nature, that has a net short or leveraged position

22:00

48:40 know definition

Definitions: "Advice"

Advice is a:

- Recommendation, guidance or proposal
- By any means or medium
- To a client or potential client
- To purchase, invest, vary or cancel
- A financial product
- Irrespective of whether a transaction results

Advice is not:

- Factual, procedural, administrative or promotional material
- An analysis that does not imply a recommendation

Case Study Example

Khumalo Wealth Management (Pty) Ltd is a licensed FSP. Sipho Dlamini, a junior employee not authorised as a representative, works in client engagement.

Mrs Thandi Molefe, a 55-year-old school principal, visits the office with concerns about inflation and her retirement annuity (RA). Sipho tells her:

“While I’m not a registered financial adviser, what many of our clients in your situation tend to do is transfer their RA to a living annuity that allows for more flexibility. We often see better returns when clients switch from traditional insurance products to managed portfolios, especially those that include equities. You’d probably be better off moving it to our platform where you can choose a more aggressive growth strategy.”

He then prints a brochure for Khumalo’s "Growth Retirement Portfolio" and adds:

“If you’re interested, I can email you a few articles comparing RAs and living annuities, and also link you to a webinar we recently hosted on retiring in a high-inflation environment.”

No formal consultation or risk assessment is conducted.

Mrs Molefe later transfers her RA to Khumalo’s platform. After a market downturn, she suffers losses (in the region of approximately 18%and files a complaint with the FAIS Ombud, claiming she relied on Sipho’s informal recommendation.

49:00

Definitions: “Intermediary Service”

Intermediary Service is:

- Any service which results in a client entering a transaction
- Done with the view to deal, manage, keep in safe custody
- Collecting premiums or processing (i.e., not paying) a claim
- Includes discretionary asset management

Client – very broad definition:

- Existing clients
- Potential clients and successors in title (institutions or corporates)
- Beneficiaries and members of retirement funds
- Excludes the general public

Definitions: “Financial Product”

Financial product:

- Long- and short-term insurance policies
- Pension fund benefits
- Securities and instruments
- Shares; money market; warrants and debentures; bonds; cash; forex; collective investment schemes
- Now bring in hedge fund collective investment schemes
- Crypto assets (recently included)

Financial product does not include:

- Kruger Rand
- Art work
- ‘Investment’ motor vehicles (i.e. limited release Ferrari)
- Real estate

License Categories & Statutory Officers

Take Note: Fit and Proper Requirements compliance requirement diff. for each category

Category I:

- This is the catch-all category for financial services providers who don't fall under any of the other specific categories.

Category II (Discretionary): most highly regulated

- This category applies to FSPs who have the authority to make investment decisions on behalf of their clients without needing their explicit approval for each transaction.

Category IIA (Hedge Funds):

- This category specifically covers providers managing hedge fund investments, requiring specialized expertise and compliance measures.

Category III (Administrative): process claims, paperwork etc

- This category covers FSPs who primarily act as administrators for financial products, meaning they handle the paperwork and processing but don't provide direct financial advice.

Category IV (Assistance Business): mostly intermediary

- This category focuses on providers facilitating the administration of funeral insurance policies, typically with limited financial advice involvement.

Statutory Officers

Key Individual: passed exams (CEO)

- Managing and overseeing a regulated function (advice and asset management)
- Application for approval by regulator

Representative:

- Anyone advising a client; or
- Exercising discretion on behalf of a client.
- Approval by the employer e.g Liberty

Compliance Officer:

- Monitor compliance with FAIS Act
- Liaise with regulator (compliance report)
- Application for approval by regulator and appointed by FSP

Fit & Proper Requirements

Fit and proper criteria:

- Honesty and integrity
- Good standing
- Competence
- Continuous Professional Development
- Operational Ability
- Financial Soundness

Fit & Proper Requirements

Honesty, integrity and good standing

Prima facie evidence person does not qualify, include:

- Criminal and civil offences relating to theft, fraud, forgery, perjury, corruption
- Convicted of a crime with imprisonment (not a fine)
- Breached a fiduciary duty, suspended/dismissed acting as a director trust
- Any issues with associations with a professional body
- Demonstrated a lack of readiness and willingness to comply
- Failed to disclose information

Take Note: FSCA discretion (*subjective*)

- **Seriousness of Misconduct:** Whether the conduct was an act or an omission and its severity.
- **Relevance to Duties:** The impact of the individual's behaviour on their role as a key individual or representative.
- **Passage of Time:** Whether sufficient time has passed since the misconduct, indicating potential rehabilitation or reform.

Fit & Proper Requirements
Competence, Experience & Qualifications

Competence
Competence under the FAIS Act is defined as having adequate, appropriate, and relevant skills, knowledge, and expertise to fulfil professional responsibilities. *Key elements include*:
- Meeting Minimum Requirements: Adherence to the regulatory standards for competency.
- Maintaining Competence: Continuous professional development to ensure ongoing compliance with industry standards.

Minimum Experience
Individuals must possess:
- Experience specific to the financial product and category of the Financial Service Provider (FSP).
- A minimum of five consecutive years of relevant experience.

Minimum Qualifications
To ensure technical knowledge and regulatory understanding, the FAIS Act mandates minimum qualifications:
- Regulatory Examinations:
    - Key Individual: Regulatory Examinations 1 (RE1) and Regulatory Examinations 3 (RE3).
    - Representative: Regulatory Examinations 3 (RE3).
- Class of Business and Product-Specific Training: Training aligned to the specific category and products of the FSP.

Case Study Example

Following the FAIS Ombud’s finding that Sipho Dlamini provided unauthorised advice to Mrs Molefe, Khumalo Wealth Management receives a compliance directive from the FSCA. The firm is required to improve its supervision procedures and formally reprimands Sipho.

Sipho, who holds a Bachelor of Commerce degree and the EAFM Honours from UCT, has expressed a strong desire to become an authorised financial services representative. He has completed his RE5 regulatory exam and recently enrolled in a recognised qualification aligned with Category I advice on long-term insurance and retirement products.

However, the firm’s compliance officer now raises a concern:

“Sipho’s prior conduct may raise questions regarding his personal character qualities of honesty and integrity, as well as his compliance with operational ability and experience requirements.”

Should Sipho still be allowed to register as a representative under the FAIS Act?

Fit and Proper Requirements Case Study:

S v J Arthur Brown [2014] ZASCA 217

S v J Arthur Brown
Background & Facts

Key Facts:

- Brown from Eastern Cape (first company was roll-in lawn)
- Opened asset manager, Fidentia Asset Management, out of Century City
- Mismanaged clients funds - office block to pay no rent, cars, holiday houses, business for spouse

Alleged Fraud:

- Mantadia Asset Trust Company (MATCO)
- Transport Education and Training Authority (TETA)
- General Misconduct:
  - Client assets were pooled and used to cover operating expenses, salaries, and shareholder dividends.
  - Fraudulent reporting was used to conceal the misuse of funds from regulators.

S v J Arthur Brown

Background & Facts

Case Details and Procedure

- 2 senior Fidentia employees turned state evidence and served sentences before court case
- Matter was heard at Western Cape High Court
- State started to present prosecution; Brown pleaded guilty on two counts of fraud (charged R75,000 per count = R150,000 total)
- So State appealed sentence (Brown had already plead guilty)
- State won at SCA and Brown was sentenced to ***15 years for imprisonment***

MATCO Count

- Fidentia Asset Management (Fidentia) acquired Mantadia Asset Trust Company (MATCO), a licensed pension fund administrator. As part of the transaction, Fidentia fraudulently misrepresented two key facts to the Financial Services Board (FSB) and the trustees of MATCO:
  - That Fidentia had sufficient funds to pay the full purchase price (R93 million), and
  - That Fidentia would only assume control of MATCO's assets after full regulatory approval and completion of the transaction.
- In reality, Fidentia used R60 million of the assets under MATCO's management—which were held in trust for third-party beneficiaries *with Fidentia*—to finance the acquisition itself. This meant that Fidentia took unauthorised early control and used trust assets to fund the purchase, thereby breaching both its representations and fiduciary obligations.
- Fired MATCO pension fund board and replaced with own people then all pension funds managed invested with MATCO
- Fidentia then took over all asset management
- Set up as benefit trust for the dependants of deceased retirement fund members – Brown as trustee.
- ***Assets used for immovable property in Eastern Cape (farms and beach side) with no income generated – one of which bought in a trust with Brown and Mrs Brown as trustees***

- **TETA Count**
  - Fidentia managed TETA which, per Treasury Regulations, can only invest in assets with an investment status no less than a Bank only Treasury Bills
  - Fidentia had a non-discretionary mandate with a guaranteed interest rate (8.5%) plus profit share (2%)
  - TETA, a public sector skills development body, placed approximately R100 million with Fidentia via two promissory notes (R50m and R50.3m) to be managed as an investment.
  - Brown falsely represented to TETA that the funds would be invested in low-risk, secure instruments and held in accordance with a specific investment mandate.
  - Instead, the funds were used by Fidentia for unapproved and high-risk investments, and to prop up the group's cash flow. The promised reporting and controls were not honoured.
  - ***Ex post facto attempts at cover up, adjust files and accounts to present to the FSB when investigations***

S v J Arthur Brown

Relevant Law

Minimum Sentence:

- Minimum sentence prescribed in terms of s 51(2)(a) of the Criminal Law Amendment Act 105 of 1997 to crimes of fraud involving amount of more than R500,000 require sentencing to imprisonment for a period of not less than 15 years.
- Fraud as defined by Snyman ***"is the unlawful and intentional making of a misrepresentation which causes actual prejudice or which is potentially prejudicial to another."***
- The unlawful and intentional making of a misrepresentation does not have to cause actual loss for it to constitute fraud.
- *Dolus Eventualis* - 'A person acts with intention in the form of *dolus eventualis* if the commission of the unlawful act or the causing of the unlawful result is not his main aim, but:
- (a) he subjectively foresees the possibility that, in striving towards his main aim, the unlawful act may be committed or the unlawful result may be caused and
- (b) he reconciles himself to this possibility.' (Snyman Criminal Law 5ed (2008) at 184)

S v J Arthur Brown

Law Applied to Facts

Minimum Sentence:

- Brown committed fraud involving tens of millions of Rands way beyond the R500,000 threshold for the minimum sentence to apply.
- The assets were at risk and potential prejudice has to be viewed from that perspective.
- Court considered whether sufficient facts to compel a departure from the minimum sentence.
  - "… **it is quite clear that the message by the legislature is that white collar criminals who commit offences of a certain magnitude must not be permitted a soft landing**." [at 120]
  - SCA quoted the Greg Blank case – an extract calling for honesty by stockbrokers and business – "It took the view that, if a broker fell short of the standard required of him, he had to **expect the full rigour of a severe sentence being imposed on him, both as punishment and to deter others**. …what this Court said about stockbrokers applies equally to asset managers who are ***in a fiduciary position in relation to investor assets***." [at para 122]

S v J Arthur Brown

Fit and Proper Requirements

- Fit and Proper standards critical in ensuring that people appointed are **properly qualified in their positions** to maintain professional standards.
- Also ensure that are regulatory examination so they are aware of their obligations and continuous professional development so that they are up-to-date
- In *S v J Arthur Brown*, **Brown did not meet many of the criteria for fit and proper standards**:
  - He was not a person who acted with honesty and integrity continually lying throughout his career.
  - He was not appropriately qualified, lied about obtaining B.Comm degree.
  - He did not apply standards of the ethical behaviour required of a person in that position.

FAIS Complaint Process and Client Remedies

* Test - know the specifics

Client Remedies

Complaint:

- Expression of dissatisfaction relating to a financial product or financial service provided submitted together with or in relation to a client query, that-
  - (a) the provider or its service supplier **has contravened or failed to comply with an agreement**, a law, a rule, or a code of conduct which is binding on the provider or to which it subscribes;
  - (b) the provider or its service supplier's maladministration or **wilful or negligent action or failure to act**, has caused the person harm, prejudice, distress or substantial inconvenience; or
  - * (c) the provider or its service suppliers has ***treated the person unfairly***.

Client Remedies

Complaint process:

1st go to company to complain

- FSP develop *<u>own internal complaint process</u>* that is **appropriate to its business risks** i.e no one size fits all
- Take reasonable steps to gather and investigate all relevant and appropriate information and circumstances, with due regard to the fair treatment of complainants
- Must categorise the complaint e.g. relating to advice, financial product/service, ongoing servicing of clients, financial products accessibility e.g. ability to switch
- Need a review and escalation process
- Need to **keep records** of all complaints and data (typically for ≈ 5 yrs)

Client Remedies

FAIS Ombud

Run by lawyers, attorneys + advocates

- **What is the FAIS Ombud?** one of the main things thatill change with KOFI
  - An independent body under the **FAIS Act.**
  - Resolves disputes between consumers and financial services providers (FSPs).
  - Focuses on cost-effective, impartial, and efficient resolution of complaints.
- **Key Responsibilities:**
  - Investigates complaints regarding financial advice or intermediary services.
  - Addresses issues such as:
    - Misrepresentation of product or poor advice. resulting in fin. loss
    - Inadequate disclosure of information.
    - Breaches of the FAIS Act or General Code of Conduct.

Client Remedies
FAIS Ombud

- **Who Can Complain?**

A complaint can be lodged by a client of a financial services provider who has ***suffered harm*** or ***financial prejudice*** due to inappropriate advice or intermediary services.

- **To qualify for investigation:**

1. The complaint must arise from a financial service rendered by the FSP.
2. It should allege a contravention of the FAIS Act, a breach of duty, or negligent conduct.

Client Remedies

FAIS Ombud - Process

Step 1: Engage with the FSP

Raise the complaint directly with the financial services provider.

The FSP must respond within **6 weeks**. - if not, they are in breach + can receive fine

Step 2: Submit to the FAIS Ombud

If unresolved, escalate the complaint to the FAIS Ombud.

Required documents include:

- Written complaint form.
- Evidence of correspondence with the FSP.
- Relevant contracts, advice records, or financial statements.

Investigation and Resolution

Complaints are resolved via mediation, conciliation, or a formal determination.

Determinations have the same legal effect as court judgments.

Time Limits:

Lodge complaints within **3 years** of the incident or within **6 months** of the FSP's response.

35:20

Arbitration is an option

process can be extremely expensive

Client Remedies

FAIS Ombud – Financial Thresholds

- **New Compensation Limit:**
  - Increased from **R800,000** to **R3.5 million**, effective **1 July 2024**.
- **Applicability:**
  - Applies to complaints received by the FAIS Ombud **on or after 1 July 2024**.
- **Complaints Above R3.5 Million:**
  - The Ombud can only consider such cases if:
    - The FSP agrees in writing to exceed the limit, OR
    - The complainant **abandons the amount exceeding R3.5 million**.
- **Purpose of the Increase:**
  - Aligns with changes in economic conditions.
  - Matches the limits of other financial sector ombud schemes.
  - Enhances access to cost-effective and independent dispute resolution.
- **Key Benefit:**
  Reduces reliance on costly litigation for financial redress.

Client Remedies

Appeal from FAIS Ombud to Financial Services Tribunal

1. Notice of Intention to Appeal:
   - Must lodge a written notice of intention to appeal **within one month** of the Ombud's determination.
   - This notice must clearly outline the grounds for the appeal.
2. Application for Leave to Appeal:
   - The Ombud reviews the application for leave to appeal.
   - If leave is granted, the matter proceeds to the **Financial Services Tribunal**. Special Court @ High C lvl
   - If leave is denied, the complainant can apply directly to the Tribunal for permission to appeal.
3. Proceedings at the Financial Services Tribunal:
   - The Tribunal reviews the matter afresh, focusing on the Ombud's decision and the grounds of the appeal.
   - Both parties are allowed to present arguments and supporting evidence.
4. Outcome:
   - The Tribunal may confirm, amend, or overturn the Ombud's determination.
   - Its decision is final, **subject to further judicial review in exceptional circumstances**. within 3 yrs doesn't happen often

40:60

1 - engage with FSP (6 weeks)

2 - Ombud

3 -

4 - Appeal Ombud

5 - FST

6 - Trudicial review

know timelines btwn them!

* 43:10

1 - legcal rep is permitted @ own cost

2 - costs paid by you

3 - ombud takes timelines very seriously - they will issue a finding against you

FAIS Code of Conduct

"The bible of ethics"

Code of Conduct
General Obligations

transparent

- Honesty – can't mislead client & be disceptive & misrep.
- Due care, skill and diligence whether you did thorough research ss? 15
- In the interests of clients ALWAYS !!!
- In the interests of the integrity of the financial services industry compliance with the law
- Communicate in plain language

At all times, do what's best for client

Code of Conduct

Specific Obligations – Advice Giving

1:08:10

1. Needs Analysis
   - income + expensces
   - risk tolerance
2. Best of Breed vs Best Advice
   limited to specific providers/products
   offer most suitable
   if product doesn't fall within your products, disclose this
3. Waiver of Rights
4. Replacement Deals
   loss of benefit
   - write justified, written analysis
   - have to be provided with info of comparison of benefits + costs

Key Learning: Misleading or incomplete replacement advice is a **serious regulatory violation**.

Code of Conduct
Specific Obligations – Advice Giving

Didn't read over

Specific disclosures:

- Adequately describe the product
- Legal relationship in the supply chain
- Complete disclosure of fees and charges
- Indirect fees
- All contact details
- Details on complaints procedure
- Details on the way the investment is determined, valued and priced
- Any restrictions, conditions and exclusions
- Investment risks

Code of Conduct
Specific Obligations – Advice Giving

collective investment securities

Specific disclosures for CISs (unit trusts)

- CIS's are generally medium to long term investments.
- The fluctuations of particular investment strategies affect how a fund performs.
  - Fund value may go up or down.
  - Therefore, there should be no guarantee of the investment capital or return of your investment.
- Past performance is no indication of future performance

Key Issue: How do you ensure that your clients understand disclaimers?

Code of Conduct
Specific Obligations – Advice Giving

Specific disclosures for CISs (unit trusts)

How to Ensure Clients Understand Disclaimers

1. **Clear and Simple Language:** Avoid technical jargon; use straightforward, plain-language explanations.
2. **Visual Aids and Examples:** Illustrate market fluctuations using graphs, past performance trends, and real-life scenarios.
3. **Interactive Discussions:** Encourage clients to ask questions and confirm their understanding before making investment decisions.
4. **Written Acknowledgment:** Require investors to sign disclosure statements confirming they understand the risks and disclaimers.
5. **Regulatory Compliance:** Ensure all marketing materials and financial advice meet **FAIS and CIS Act** disclosure standards.

Code of Conduct
Specific Obligations – Financial Obligations

- **Capital Adequacy**
  - FSPs must maintain sufficient financial resources to operate effectively and meet liabilities.
  - Minimum capital adequacy requirements are set by the regulator based on the size, risk, and nature of the FSP's activities.
  - Ensures financial stability, reducing the risk of insolvency or failure.
- **Operational Capability**
  - FSPs must have the infrastructure, systems, and personnel to deliver services effectively.
  - Includes:
    - Office premises, IT systems, and compliance structures.
    - Risk management plans to address market, operational, and financial risks.
    - Disaster recovery and business continuity plans to ensure resilience in crises.
    - Remuneration structures and strategic planning to align incentives with long-term sustainability.
- **Regulatory Extensions and Legal Certainty**
  - The regulator has extended financial obligations, requiring additional operational and financial safeguards.
  - Raises concerns about legal certainty, as FSPs must continuously adapt to evolving financial requirements.
  - Compliance with extended obligations ensures greater consumer protection and market stability but may increase administrative burdens on FSPs.

FAIS Conflicts of Interest

Arguably the most challenging aspect of providing financial services

(Board Notice)
BN58 of 2010

Conflict of Interest

Conflict of interest is any:

incentives, gifts

- **Actual** ***or*** **potential** conflict
- While rendering a financial service
- To a client
- That may influence the objectivity of your obligations
- Or prevent the delivery of unbiased and fair financial service
- And includes a **financial interest** ***or*** **ownership interest**

1:39:30

if it is unclear if it's bias, it probably is

Examples

Potential conflict of interest → **Actual conflict of interest**

- If you and client both hold Standard Bank shares in your own portfolios
- When Standard Bank shares start tanking then whose shares do you sell first?

Potential conflict of interest → **Actual conflict of interest**

- Mandate permits you to invest in your own company (listed investment company)
- When you invest client's portfolio in your own company

Conflict of Interest

A financial or ownership interest arises when an FSP or representative **receives or holds *any financial benefit*** that could compromise the **objectivity of financial services rendered to clients**.

1. Any Cash or Cash Equivalent	2. Gifts	3. Services
• Direct **monetary payments** or commissions received from third parties. • Any form of **cash benefit** received in exchange for preferential product recommendations. • Includes **rebates, monetary gifts, or financial incentives** that could influence advice.	• Material gifts such as **luxury items, branded merchandise, or expensive goods**. • Gifts given **regularly or of substantial value** create a potential conflict of interest. • The **cumulative impact of gifts** should be considered when determining conflicts.	• Non-monetary compensation in the form of **free consulting, software, or support services**. • Free or subsidised **training or operational tools** provided by a third party. • These can create dependency on a **particular service provider**, influencing financial advice.

Conflict of Interest

4. Advantage, Benefit, and Discount

- Preferential **pricing arrangements** on financial products, which may lead to biased recommendations.
- Special treatment for advisors or their clients, such as **priority service**.
- Discounts given **exclusively to advisors or their firms**, not the general public.

5. Travel, Hospitality, and Accommodation

- **Sponsored travel** to conferences or product launches, especially if unnecessary for business.
- Invitations to **exclusive events, luxury hotels, or high-end networking functions**.
- These perks could subtly pressure FSPs to **recommend products from the hosting provider**.

6. Sponsorship and Incentives

- Any sponsorship provided by a product supplier to an FSP, particularly for **marketing or operational support**.
- **Performance-based incentives**, such as bonuses for meeting sales targets on specific products.
- These incentives may result in **biased advice** that prioritises **revenue over client needs**.

7. Shares or Ownership Interests

- An FSP or advisor **owning shares in a financial product provider** creates a direct conflict.
- A representative might push products from a company they have a **financial stake in**, regardless of client needs.
- This must be **fully disclosed** before any advice is given.

Conflict of Interest

Duties of FSP under General Code of Conduct

Avoidance vs Mitigation	• **Conflicts of interest should be avoided wherever possible.** • If a conflict ***cannot* be avoided**, the FSP must: • **Fully disclose** the conflict to the client. • **Implement mitigation measures** to ensure impartial financial advice.
Client Disclosures Are Critical	• Clients must be **informed of any potential conflicts** before making financial decisions. • Disclosures should be **clear, transparent, and documented**.
Distribution Channels – Incentivisation Rules	• FSPs **may not** incentivise representatives **exclusively on sales volume**. • Incentives **must not** encourage preference for a **specific product or provider**. • Remuneration must comply with **legislated commission and fees**.
Conflicts of Interest Policy	• Every FSP **must publish and enforce** a **conflicts of interest policy**. • The policy should outline **how conflicts are identified, disclosed, and managed**.

1:47:50

FAIS Conflicts of Interest

Independent Advisors (or Brokers)

Conflict of Interest – *Independent Advisors*

"in order to maintain true independence, FSP must

Recent amendments to the General Code of Conduct in June 2020 led to a change to specific duty under section 3: description of an "independent" FSP

Section 3(5) A FSP may not describe itself or the financial services it renders as "Independent" if -

the provider, or its associate, is a significant owner of any product supplier or its associate in respect of whose products the FSP renders financial services;

a) any product supplier in respect of whose products the FSP renders financial services or an associate of such product supplier is a significant owner of the provider or its associate;
b) the FSP directly or indirectly receives or is eligible for any financial interest from a product supplier in respect of whose products the FSP renders financial services other than a financial interest referred to in section 3A(1)(a) (i), (ii), (vi) or (vii); or
c) any other relationship exists between the FSP and any product supplier in respect of whose products the FSP renders financial services that gives rise to material conflict of interest.

Conflict of Interest – *Independent Advisors*

3A (1)(a) A provider or its representatives may only receive or offer the following financial interest from or to a third party –

i. commission authorised under the Long-term Insurance Act, 1998 (Act No. 52 of 1998) or the Short-term Insurance Act, 1998 (Act No. 53 of 1998);

ii. commission authorised under the Medical Schemes Act, 1998 (Act No. 131 of 1998);

iii. fees authorised under the Long-term Insurance Act, 1998 (Act No. 52 of 1998), the Short-term Insurance Act, 1998 (Act No. 53 of 1998) or the Medical Schemes Act, 1998 (Act No. 131 of 1998), if those fees are reasonably commensurate to a service being rendered;

iv. fees for the rendering of a financial service in respect of which commission or fees referred to in subparagraph (i), (ii) or (iii) is not paid, if those fees:

    i. are specifically agreed to by a client in writing; and

    ii. may be stopped at the discretion of that client;

v. fees or remuneration for the rendering of a service to a third party, which fees or remuneration are reasonably commensurate to the service being rendered;

vi. subject to any other law, an immaterial financial interest; and

vii. a financial interest, not referred to under subparagraph (i) to (vi), for which a consideration, fair value or remuneration that is reasonably commensurate to the value of the financial interest, is paid by that provider or representative at the time of receipt thereof.

Conflict of Interest – *Independent Advisors*

An FSP is considered **independent** if it operates without financial ties or interests that could influence the objectivity and impartiality of its advice.

Key Learning: The term **'independent'** is significant because it directly affects the perception of **impartiality** and **objectivity** in financial advice.

* critical

- **Independence** means:
  - FSP or advisor has **no direct or indirect ties to any product provider** that could affect their ability to offer **unbiased, client-centric advice**.
  - An advisor or FSP cannot claim to be independent if they receive **commission, remuneration, or incentives** from *a single product supplier or a limited group of suppliers*.
- Independence is compromised if an FSP has **ownership interests** in a product supplier or if they are subject to **influence due to financial arrangements** with product providers.

FOCUS: Advice is solely based on the best interests of the client.

Conflict of Interest – *Independent Advisors*

Permitted "financial interest" by a product provider to not lose status of "independent":

- Commission under LT/ST Insurance Act
- Commission under Medical Schemes Act
- Immaterial financial interest (e.g. less than R1000)
- A consideration, fair value or remuneration that is reasonably commensurate to the value of the financial interest, is paid by that provider or representative at the time of receipt thereof

upfront fee

Conflict of Interest – *Independent Advisors*

Commission and Conflicts of Interest

- **Commissions** are a common form of remuneration for financial advisors and FSPs.
- While commissions are a legitimate form of compensation, they can create potential **conflicts of interest**, as they may influence the financial advisor's decision-making process.
- Commissions are typically paid as a **percentage of the value** of the financial product sold or based on the volume of sales.

1:56:24

problems : churning

Conflict of Interest – *Independent Advisors*

Conflicts of Interest Arising from Commissions:

- The **primary concern** with commissions is that they may affect the ***objectivity*** of financial advice. Advisors might be incentivised to:
- **Promote products with higher commission rates,** regardless of whether they are the most suitable option for the client.
- **Prioritise sales volume over client needs,** potentially leading to a focus on high-selling products rather than tailoring recommendations to individual client requirements.
- **Recommend frequent changes or replacements** of products (known as 'churning') to earn additional commissions from new sales, even when such changes may not be in the client's best interest.

Regulations on Commissions:

The FAIS Act addresses these concerns by implementing strict guidelines:

1. **Transparency and Disclosure:** Advisors must disclose any commissions or incentives they receive to clients. This transparency allows clients to understand how their advisor is compensated and to evaluate whether the advice provided is impartial.
2. **Suitability of Advice:** Financial advice must be based on a proper assessment of the client's needs and circumstances, irrespective of the commission structure.
3. **Restrictions on Commission-Driven Advice:** FSPs and their representatives are prohibited from allowing commissions to influence the **objectivity of their advice**. Advisors should not let their financial interests compromise the client's best interest.

2:07:30

Treating Customers Fairly (TCF)

Treating Customers Fairly

- Fairness outcomes for financial services consumers
- TCF draws its legal legitimacy from multiple sources of legislation – not one specific one
  - Primarily, it is FAIS and Financial Institutions (Protection of Funds) Act
  - But TCF will be the hallmark of the new Conduct of Financial Institutions (CoFI) Bill – ***keep an eye on the news for the tabling of the COFI Bill in Parliament this year.***
- Firms are expected to demonstrate that they deliver the ***6 TCF Outcomes*** to their customers ***throughout the product life cycle***, from product design and promotion, through advice and servicing, to complaints and claims handling – and throughout the product value chain.

Treating Customers Fairly

The 6 TCF Outcomes

1. Customers can be confident they are dealing with firms where TCF is central to the corporate culture
2. Products & services marketed and sold in the retail market are designed to meet the needs of identified customer groups and are targeted accordingly
3. Customers are provided with clear information and kept appropriately informed before, during and after point of sale
4. Where advice is given, it is suitable and takes account of customer circumstances
5. Products perform as firms have led customers to expect, and service is of an acceptable standard and as they have been led to expect
6. Customers do not face unreasonable post-sale barriers imposed by firms to change product, switch providers, submit a claim or make a complaint

Reading

Prescribed:

1. Definition section under FAIS Act
2. Determination of Fit and Proper Requirements for FSPs (BN 194 of 2017)
3. *S v Brown* 2014 ZASCA
4. FAIS General Code of Conduct
5. Conflicts of Interest (BN 58 of 2010)

Thank You